

WHITEPAPER

The Hidden Dependency: Managing Technology Sovereignty Risk in Banking

A Practical Guide for North American and European Banks

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Executive Summary

How much does your institution rely on foreign technology suppliers? The short and most likely answer is a lot. What's more, that dependency leads to a strategic weakness, also known as technological sovereignty risk. Left unmanaged, it poses a significant threat to operations and performance.

Banks are exposed to tech sovereignty risk through three primary channels: kill switch risk (a foreign government ordering a vendor to cut services), hyperscaler and LLM cost sovereignty risk (compute and AI providers reprice or restrict access unilaterally), and jurisdiction/concentration risk (where a foreign government compels a critical vendor to take actions which infringe local laws). Banks cannot eliminate any of these risks outright, but if they make the right choices, they can reduce the exposure when an incident occurs.

This whitepaper discusses realistic, tiered options for the three key species of tech sovereignty risk, prioritized by feasibility and value, and offers banking leaders a basic self-assessment framework to help them gauge their exposures. It also contains an appendix of lower-priority options. The bottom line is that tech sovereignty risk is manageable, but only if banking leaders name, measure, and own it before a third party forces their hand.

Introduction

Tech sovereignty means an institution's ability to keep operating, protect customer data, and make independent technology decisions without becoming dependent on foreign governments, tech providers, or the market infrastructures those vendors rely on. In their everyday business, banks face three key risks to their capabilities:

Kill switch risk is the risk that a foreign government directs a technology vendor such as a cloud provider, software supplier, or payment network to suspend services to institutions that do business in certain countries.

Hyperscaler and LLM cost sovereignty is the risk of becoming so embedded with one or two providers that they can reprice unilaterally, and there is no credible alternative. The same principle may apply to model deprecation and terms of service.

Jurisdiction risk is the risk of a foreign government applying its own legal framework to a technology vendor handling local computing and local data, creating a breach of local laws. This may occur where a US legal process (e.g., the CLOUD Act) is applicable to a US-based company's EU operations, leading to conflict with regulation such as the EU GDPR. Jurisdiction risk is closely related to third-party and vendor concentration risk, reflecting the dangers of deep dependency on a concentrated set of vendors across the stack. Exposure is amplified by the reality of a narrow supplier playing field.

US-Based Banks Most Exposed to Hyperscaler/LLM and Jurisdiction Risk

For banks domiciled and operating primarily in the US, kill switch risk is less of an immediate threat, because US law is the mechanism by which vendor suspensions would be ordered. By contrast, hyperscaler/LLM cost sovereignty and jurisdiction/concentration risk are fully relevant. Vendor lock-in, repricing exposure, and dependency on a small number of technology providers are structural features of the US market just as much as they are elsewhere.

US banks operating in multiple overseas markets face sovereignty risks in each. A European subsidiary must navigate GDPR and DORA, while operations in Canada, Brazil, or India must align with localization and cross-border transfer rules regardless of where the parent is headquartered.

No Two Banks Face the Same Calculus

There is no one-size fits all risk equation. Two banks of similar size and profile can reach different conclusions about which risks matter most, depending on factors including geographic footprint, business model, market position, growth strategy, existing architecture, and risk appetite.

Thus, any analysis will necessarily amount to a menu of considerations rather than a universal prescription. The risks will be genuine and potential responses realistic, but prioritization will be defined by each institution's context. (See box out: Two Banks, Same Problem, Different Answers).

Two Banks, Same Problem, Different Answers

Two mid-size banks were notified that their on-premises call-center platforms would be discontinued. They reached opposite conclusions. The first prioritized data control. It moved to a local, on-premises alternative with a narrower feature set, keeping customer data in-house and eliminating both cloud-access risk and dependency on the US-headquartered vendor.

The second judged the functional gap too costly to manage and migrated to the vendor's cloud-hosted equivalent, accepting vendor lock-in and data-residency trade-offs for the full feature set, continuous updates, and faster deployment.

Neither was wrong. The same migration trigger and the same options produced two reasonable outcomes, reflecting different risk appetites and competitive priorities.

Part 1. Kill Switch Risk: Foreign Government Directives to Vendors

Kill switch risk is the risk that a foreign government orders an AI, software, or cloud vendor to stop servicing customers operating in a specific country. As a result, the customer's systems go dark. The trigger is a legal action, but the consequences are operational and financial (remediation costs, lost revenue, contractual penalties).

Where markets are sanctioned for political reasons, recent experience shows major tech suppliers can rapidly restrict services, forcing banks with operations in those countries to scramble. Equally, the scenario can invert. An order, for example, under the US International Emergency Economic Powers Act (IEEPA) or Export Administration Regulations (EAR) could compel American vendors to restrict services to specific institutions with limited warning. Indeed, courts have been reluctant to second-guess executive national security determinations, so vendor compliance may occur faster than legal remedies can be obtained. (See box out: The Anthropic Fable 5/Mythos 5 Suspension, June–July 2026)

Another high-risk dependency is identity and access management. If a major cloud-hosted identity provider is suspended, employees cannot log in and applications cannot authenticate. This highlights severe single-vendor concentration for banks with heavy integration into one provider's identity and productivity suite; a function that underpins almost every other system.

A significant risk is that core banking SaaS can inherit vendor-chain continuity risks. Banks on major core banking platforms depend on those vendors and their hosting providers remaining willing and able to serve them. But if the vendor's cloud host is subject to a mandatory order, a directive targeting one bank could propagate through the chain.

The Anthropic Fable 5/Mythos 5 Suspension, June–July 2026

On June 12, 2026, the U.S. Department of Commerce ordered Anthropic to immediately halt foreign national access to AI tools Claude Fable 5 and Mythos 5, citing the fact that Amazon researchers had demonstrated a way to bypass the models' cyber security safeguards three days after commercial launch. Unable to verify user nationality in real time, Anthropic shut down both models worldwide, across AWS Bedrock, Google Cloud, Microsoft Foundry, Snowflake, and direct Claude APIs.

After negotiations, Fable 5 was restored globally while Mythos 5 remained restricted to approved US organizations. Any bank with the model embedded in production workflows had no operational fallback and no contractual recourse. The episode confirmed that US-supplied AI inference carries the same kill switch risk as cloud providers and OS licenses. A directive can remove global access within hours and without judicial approval.

Response Prioritization: Charting Value Versus Feasibility

A value versus feasibility chart can help decision-makers assess and prioritize their options. (See Exhibit 1.) In the below example, each option is scored on a five-point value and feasibility scale. We describe higher priority actions as group 1 and lower-priority actions as group 2 (see appendix A).

Based on the value feasibility trade-off, there are three higher-priority options:

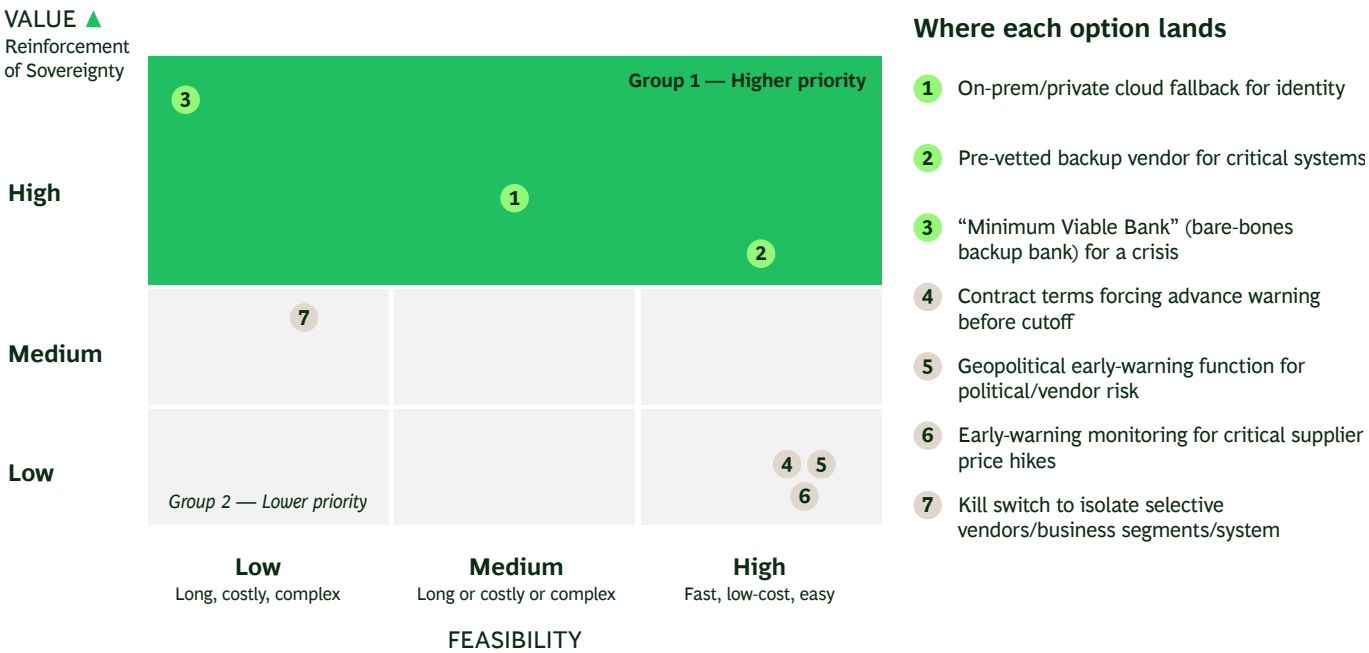
1. **On-prem/private cloud fallback for identity.** Banks can deploy an on-premises Active Directory or use an open-source identity provider for mission-critical authentication, run alongside cloud-hosted identity and access management (IAM). This will reduce single-point-of-failure risk but requires hands-on infrastructure supervision and in-house skills. Currently, most identity teams are designed to administer cloud directories rather than operate them. Some European banks have invested, but decision makers considering this option should benchmark operationally first.

2. **Pre-vetted backup vendor for critical systems.** For any technology component underpinning multiple critical functions (payments, core banking, AML), banks should identify at least one credible non-US or domestic alternative and validate whether the migration is technically feasible within a defined timeframe. This is targeted redundancy rather than more costly full dual sourcing. That said, the validation exercise must be a real and properly tested. Banks should set specific thresholds and calibrate policy to risk appetite.

3. **Minimum Viable Bank (MVB).** Creation of an MVB represents the highest value option, suggesting it is worth scoping now, even in the absence of full funding and low overall feasibility. Decision makers should define a subset of functions (e.g., account positions, payments, KYC, regulatory reporting) that must stay operational through any single-vendor suspension. The MVB should be architected to run on sovereign or domestic infrastructure in parallel with the main system, but should be capable of isolated restart on a predefined trigger. The EU's DORA exit-strategy and resilience-testing requirements (Articles 26–28) support this approach. Still, banks should expect a long, costly, and multi-year build amounting to a system overhaul, which they should scope against their own critical-function mapping.

EXHIBIT 1

Value and feasibility matrix to evaluate options to mitigate kill switch risk



Source: Tech Sovereignty in Banking report, Part 1 — Killswitch Risk (this conversation).

What banks cannot do realistically. For most large banks, eliminating US vendor dependency entirely is infeasible. Therefore, the goal should be to reduce the potential exposure. That will mean ensuring that no single vendor suspension disables the bank's most critical functions for long, and that recovery pathways are tested against regulatory impact tolerances.

Part 2. Hyperscaler and LLM Token Cost Sovereignty Risk

Banks can become so embedded in the compute and AI infrastructure of one or two hyperscalers that those companies can reprice unilaterally, with no credible alternative. This can extend to AI inference, where a bank routing all workloads through a single API is exposed to model deprecation and terms-of-service restrictions. The exposure is primarily budgetary, but repricing is exercised through contractual and licensing terms.

We have already seen dominant infrastructure vendors shift customers from perpetual licenses to subscription-only bundles, materially increasing costs. Banks that built private clouds around such software may have limited exit options within a single budget cycle because alternatives require significant migration effort.

Hyperscaler lock-in deepens silently through proprietary services. In addition, use of hyperscaler-proprietary compute and database services, rather than open-standard equivalents, increases migration complexity through accumulated data gravity and proprietary API dependencies.

LLM API pricing is vendor controlled. A bank with LLM calls embedded across many workflows has made an implicit bet on price stability. Historically, enterprise software pricing moves upward once alternatives become harder to access. Banks should model a 2–3x increase scenario before expanding usage.

Model deprecation is a documented operational risk. OpenAI's deprecation history shows older model versions often sunset with only months of notice. Banks with fine-tuned models or prompt chains calibrated to a specific version face re-engineering costs at each deprecation event, with no contractual protection for continuity.

Prioritization: Value and Feasibility

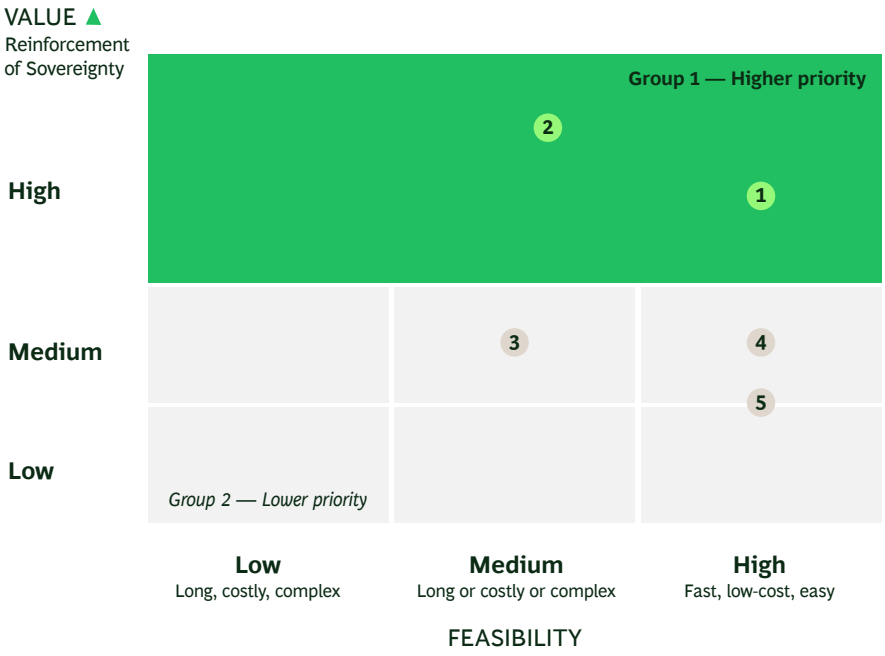
Again, referencing the feasibility-value chart, we highlight two higher-priority options for banks:

1. **Switch AI vendors without a rebuild.** Banks can build an internal LLM gateway (open-source or commercial) that abstracts model endpoints from application code. (See Exhibit 2.) The gateway will route to different providers or an on-premises deployment based on cost, latency, and data classification rules, turning a provider switch into a configuration change, rather than a re-architecture.

2. **Run AI models in-house, skip the API fees.** Leading open-weight model families can run on a bank's own GPU infrastructure without per-token costs. For internal use cases such as summarization, Q&A, or code assistance, they can provide acceptable performance where suitable infrastructure exists. Still, it is important to benchmark carefully by workload because frontier models quality claims are use case dependent.

EXHIBIT 2

Value and feasibility matrix to evaluate options for hyperscaler and LLM cost sovereignty risk



Where each option lands

1. Switch AI vendors without a rebuild (Multi-LLM routing with abstraction layers)
2. Run AI models in-house, skip the API fees
3. EU-based cloud/AI built for EU data rules
4. FinOps/real-time tracking of cloud/AI spend
5. Lock in cheaper cloud rates

Source: Tech Sovereignty in Banking report, Part 2 — Hyperscaler and LLM Cost Sovereignty (this conversation).

Frontier LLM capability remains highly concentrated among a small number of predominantly US-based providers. Banks requiring state-of-the-art AI face a genuine capability-versus-sovereignty trade-off. Thus, the goal should be to ring-fence workloads which truly require frontier models and to build routing infrastructure to enable that separation.

Part 3. Jurisdiction and Concentration Risk

Jurisdiction risk relates to the potential for a foreign government to apply its own rules to a technology vendor handling overseas computing or data, creating a breach of local laws. The risk can be exacerbated where banks carry deep dependency on a concentrated set of technology vendors across the stack, manifested as operational, budget, legal, and reputational risks. When one vendor fails, is acquired, reprices, or is subject to regulation, the bank is exposed.

Banks are exposed to jurisdiction risk when their technology's availability, functionality, or terms of use can be determined by a foreign government rather than by the commercial supplier. This was illustrated by the recent US restrictions on Anthropic, which were based on "national security concerns." For banks, the threat of sovereign interference creates a new dimension of risk. The institution may have a contractual relationship with a provider and robust service level agreements, but still find itself unable to get access to the tools that drive its business.

As banks embed frontier AI into their processes, jurisdiction risk is growing threat to business continuity, and may force migration to less capable or untested alternatives. In that case, there would be inevitable knock impacts on costs, model risk management, and compliance. Thus, it should be a priority for business leaders to understand and monitor technology dependencies.

While third-party concentration is straightforwardly measurable, most banks have not fully done so. For each critical function, banks should be able to list every vendor in the delivery chain and score them on supplier-country exposure, data location, and chain-of-control. Banks often find a significant share of critical-function chains trace back to US-headquartered vendors or infrastructure.

Concentration risk is a regulatory and thus compliance priority. The EU's DORA requires banks to identify ICT third-party dependencies, assess concentration risk, and maintain exit plans for critical functions (Articles 28–30). US regulators issued similar interagency guidance in 2023.

Frontier AI models are becoming a hidden point of concentration across the vendor ecosystem. As more third-party vendors embed frontier models into their own products, apparent vendor diversification can be illusory. Dozens of vendors may route decisions through the same two or three model providers. This compounds correlations (one model's suspension, as in the Fable 5/ Mythos 5 precedent, could disable many unrelated vendors) with a distinct model-risk dimension (hallucination, unexplainable outputs, autonomous action without human review) which most vendor contracts do not cover.

Prioritization: Value and Feasibility

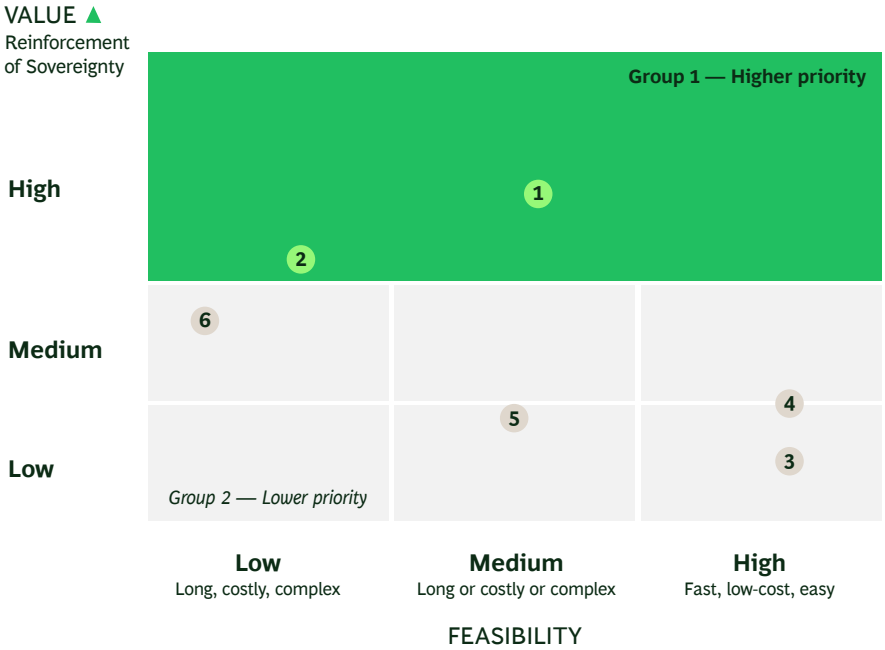
Again, plotting feasibility against value, two options stand out:

1. **Open source instead of proprietary vendor tools.** Open-sourcing can reduce license lock-in across common technology layers. (See Exhibit 3.) Banks can benefit from open-source streaming versus proprietary managed streaming, open-source databases versus in-house databases, open-source orchestration versus proprietary orchestration, and open-source identity versus internal IAM. That said, while open source solutions reduce license dependency, they may not reduce vendor dependency, and banks may still need managed service providers and specialist support. Thus, open source needs to be one tool in a broader toolkit.

2. **Join industry efforts for shared EU tech.** Individual banks have limited leverage with dominant vendors, so collective efforts can create alternatives that benefit all participants. In Europe, these include GAIA-X, the EU Cloud Federation, national sovereign cloud consortia, and the TOSIT open-source consortium. In North America, there are FS-ISAC working groups and bilateral frameworks with European regulators. One caveat is that collective initiatives tend to be on a multi-year horizon set by the slowest member, with a high cost for participating meaningfully.

EXHIBIT 3

Value and feasibility matrix to evaluate options to mitigate third-party and vendor concentration risk



Where each option lands

1. Open-source instead of proprietary vendor tools
2. Join industry efforts for shared EU tech
3. Standard contract terms for exit & audit rights
4. Make vendors disclose who THEY depend on
5. Tested exit plan for your most critical
6. Run two vendors in parallel for the same job

Source: Tech Sovereignty in Banking report, Part 3 — Third-Party and Vendor Concentration (this conversation).

Eliminating all third-party dependencies is unviable because banking technology is too complex and in-house development too costly. The realistic goal should be a tiered model, comprising maximum control and exit-plan depth for the small number of vendors covering critical functions and standard commercial risk management for the rest.

Assessing Your Tech Sovereignty Risk: Next Steps

Too many sovereignty conversations skip straight to a technology or vendor choice without ever naming the risk being addressed. This creates a new potential liability, which is that banks defend against risks they were never exposed to and ignore real risks. Thus, the first priority should be to assess the impacts of tech sovereignty risk.

Step 1: Name What You Mean

Before a bank can assess its exposure, it needs to agree specific definitions to cover where risks are most likely to land. Leading institutions group exposures into three categories, as shown in the below table:

EXPOSURE CATEGORIES	SPECIFIC EXPOSURES TO ASSESS
Operational risks	Supplier service interruption, supplier service degradation, scalability constraints.
Budget risks	Cost increases (e.g., billing increase at contract renewal), foregone revenue.
Jurisdiction & compliance risks	Data breach, regulatory non-compliance, conflicting cross-border legal obligations (e.g., a vendor compelled by a foreign government to disclose data in breach of local law).

Step 2: Assess Exposure and Maturity Against Each Risk

1. **Map exposure and score maturity separately, risk by risk.** Exposure shows the size of the problem, while maturity, including exit plans, contractual protections, and alternative vendors, points to the status of contingency planning. The gap between the two is the real finding.

2. **Prioritize the gap, not the most visible risk.** High exposure with low maturity should out-rank a more visible risk the bank has already provided for.

3. **Assign one owner per category.** CTO/COO for operational, Treasury/CFO for budget, General Counsel/DPO for legal and compliance. Today, sovereignty exposure typically has no specific owner assigned.

4. **Decide on posture per risk.** Accept, mitigate, transfer, or avoid, each with a cost, owner, and timeline. “We are aware of the risk” is not a posture.

5. **Revisit on a fixed cadence.** Regulatory designations, export-control actions, and vendor changes move too fast for a one-time assessment.

As recent experience has shown, sovereignty risk is far from being hypothetical. Moreover, banks often harbor concentrated dependencies whose true costs are only discovered once a vendor, regulator, or government acts on them. Running an assessment as a priority can prevent a reactive scramble, clarify strategic options, and lead to a managed, budgeted solution.

Appendix A: Lower-Priority Realistic Options

On value and feasibility charts, some options are viable but may be seen as lower priority. Still, many of these are relatively low cost and low-effort with a real (if modest) payoff. We list them below for reference:

Part 1 — Kill Switch Risk

Impose contract terms forcing advance warning before cut off. Banks can negotiate "geopolitical continuity" clauses requiring vendors to provide advance notice of service suspension, maintain escrowed code and data exports, and specify that termination cannot be executed below a minimum runway (e.g., 90 days). In effect, exit clauses, audit rights, and data-localization commitments can be written into the contract itself. These clauses have limited legal force against a direct government order, since a US-headquartered vendor remains subject to US extraterritorial jurisdiction and the bank remains dependent on that supplier regardless of what the contract says. However, they create friction, a documented record of the bank's due diligence, and a basis for regulatory and litigation positions. DORA's exit-planning requirements (Article 28) and OSFI B-10 both support negotiating such provisions.

Geopolitical early-warning function for political/vendor risk. Banks can establish a standing capability (either internal or via a specialist firm) to monitor vendor ownership changes (e.g., M&A that shifts a vendor into a new jurisdiction), government export-control actions, and sanctions designations. This can be organized as a conflict-and-tension monitoring cell tasked with tracking developments by geographic zone, with a defined escalation path to the CTO and board. The binding constraint is internal resources. It will only work if someone is staffed to watch it and act on what they see. This is standard practice in the defense and aerospace sectors and is increasingly expected by banking supervisors under DORA's concentration risk and third-party monitoring requirements.

Early-warning monitoring for critical supplier price hikes. Alongside geopolitical early-warning monitoring, banks can maintain a standing capability to surveil potential tariff increases and critical suppliers policy shifts, including tracking public filings, pricing announcements, and trade policy developments in relevant jurisdictions. This is a lower-cost extension of the same monitoring function rather than a separate build and it will directly improve the quality of the repricing exposure this report flags in Parts 2 and 3. The constraints are the same as for geopolitical early-warning monitoring. Internal resources are required to staff and act, but real anticipation is genuinely possible because tariff and pricing changes are typically signaled well in advance, unlike the abrupt vendor suspension scenarios in Part 1.

Kill switch to isolate selective vendors/business segments/system. For the most acute kill switch scenarios, banks should design and test an instant identity-block and sensitive-segment-isolation capability. That is, the ability to sever a specific vendor, system, or business segment from the rest of the estate within minutes, without taking the whole institution down with it. This is distinct from the Minimum Viable Bank architecture described above. Instead, it is a containment reflex. The binding constraints are the cost of testing, automation, and architecture, because a cutoff capability that has not been rehearsed under realistic conditions cannot be trusted to work when it is needed.

Part 2 — Hyperscaler and LLM Token Cost Sovereignty

EU-based cloud/AI built for EU data rules. Several providers have developed European sovereign cloud offerings with contractual data residency and access-control commitments. Examples include Microsoft's EU Data Boundary for enterprise online services, Google's Sovereign Controls by Partners (delivered through entities like S3NS, a standalone French company designed to meet ANSSI requirements), and OVHcloud's EU-based services. Banks considering these offerings should validate precise data residency, legal access, sub-processor, and feature-availability terms, as sovereign offerings may involve operational trade-offs and pricing premiums compared to standard public cloud regions. Sovereign cloud arrangements can help satisfy certain GDPR, DORA, and national regulatory requirements but should not be assumed to eliminate all cross-border legal access risk without contract-specific legal review.

FinOps/real-time tracking of cloud/AI spend. Banks can establish real-time cloud cost observation that maps each LLM API call and hyperscaler service to a business function and cost center. This is not just cost management; it is strategic intelligence. Granular cost attribution at workload level enables precise substitution decisions when pricing moves, rather than broad and disruptive renegotiations.

Lock in cheaper cloud rates. The major hyperscalers offer reserved instances and committed-use contracts with multi-year terms that provide material discounts versus on-demand pricing. The exact discount depends on service type, region, term length, and commitment level, and should be validated directly with each provider. For baseline, predictable workloads, committing volume in exchange for price stability reduces repricing risk. The trade-off is reduced flexibility if workload patterns change.

Part 3 — Jurisdiction and Concentration Risk

Standard contract terms for exit and audit rights. Banks should standardize provisions across all Tier-1 vendor contracts: data portability in open or standardized formats, source-code escrow with defined trigger conditions, audit rights including infrastructure-level access, and restrictions on unilateral changes to licensing or service terms. In effect, this is the same exit-clause, audit, and data-localization toolkit as the contractual clauses in Part 1, but applied systematically across the vendor book rather than case by case. DORA, OSFI B-10, and the US interagency third-party guidance support negotiating the terms. Their availability depends on market leverage and vendor willingness, but regulatory backing increasingly makes them obtainable at large-bank scale. The constraint that no contract term fully resolves is that a US-headquartered vendor remains subject to US extraterritorial jurisdiction regardless of what the contract says.

Make vendors disclose who *they* depend on. Cloud and SaaS vendors frequently rely on their own sub-processors (often other major US hyperscalers) for underlying infrastructure. A European-branded offering built on US-controlled infrastructure may not provide the sovereignty protections its marketing implies, because the legal, operational, and data-access profile depends on the entire sub-processor chain. The same logic now extends to embedded AI. A vendor's product may route decisions or data through a frontier model that the vendor itself does not disclose, creating correlated-failure and model-risk exposures the bank never contracted for. OSFI B-10 explicitly addresses subcontractor and geographic/jurisdiction risk, requiring banks to understand and assess these chains. Banks should contractually require disclosure of all sub-processors, including any embedded frontier-model dependency, which model and version it relies on, and whether outputs are used in decisions without human review, as well as their jurisdictions and the legal frameworks governing data access at each layer.

Tested exit plan for your most critical vendors. For each vendor classified as critical, maintain a tested exit plan, including data export scripts in open formats, an alternative vendor shortlist with validated migration timelines, and a budget reserve. In short, prepare exit solutions for critical suppliers before they are needed. DORA Article 28 explicitly requires exit plans for ICT services supporting critical or important functions. The plan does not need to be immediately executable at scale, but it does need to be credible and regularly tested. Its existence also strengthens contract negotiation leverage at renewal. The binding constraint is that the plan is only as good as the existence of real alternative solutions. A shortlist naming vendors that could not absorb the workload is not a plan.

Run two vendors in parallel for the same job. For technology bricks where a single vendor underpins multiple critical functions, pursue active dual sourcing, comprising a primary vendor and a secondary vendor running in parallel at reduced scale. This is resource-intensive for large bricks (e.g., core banking platforms) but practical for smaller bricks (identity providers, monitoring, log management, API gateways). The binding constraints are the multiplied ongoing costs of running two live vendor relationships, and the fact that the secondary vendor is often still a large US-headquartered supplier, which means you reduce concentration risk without necessarily reducing exposure to a single jurisdiction's reach. Dual sourcing should be prioritized based on a concentration risk assessment rather than being applied uniformly.

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